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TANDY CORPORATION TODAY

Tandy Corporation, based in Fort Worth, Texas, is the world's largest electronics retailer. With more than 9,000 Radio Shack retail outlets throughout the world, Tandy Corporation is the premier distribution system for the products of today's -- and tomorrow's -- technology.

Today, Radio Shack includes two separate marketing organizations, for consumer electronics and business products (computers and telephones), and the product development and support functions necessary for each.

The Tandy business product line includes computer hardware, software and peripheral merchandise, telephone and telecommunications items -- as well as the many accessories and supplies to support these products.

Radio Shack consumer products include everything from electronic components to a state-of-the-art audio disc player. Stereo systems, radios, cassette players, home telephone systems, home computers, televisions, alarm systems, and electronic toys, all have a place in the Radio Shack line.

Through the 1960's and 1970's Radio Shack developed and sold primarily home entertainment products. In 1977 Tandy made a commitment to the microcomputing industry, a commitment that includes the development, sale and support of Tandy Corporation/Radio Shack microcomputer systems, software and peripherals. The company's involvement in the microcomputing industry has resulted in the establishment of more than 1200 Radio Shack Computer Centers in the United States, supported by 220 Customer Service Representatives in the field, backed by a staff of 100 in the customer service department of the home office and 275 company owned and operated computer repair locations around the country.

Radio Shack's involvement in selling telephones began in 1958. By 1983, when Radio Shack opened its first four telephone centers, Radio Shack was the largest non-Bell purveyor of telephones. The company has developed and markets a complete, full-featured line of telephone equipment from single line telephones to complex, multi-line business systems, and plans to offer cellular telephones.

Commitment to "servicing what we sell" has solidified consumer confidence in the Tandy Corporation/Radio Shack product line and overall approach to retailing. Tandy's philosophy of service means products that are backed by strong product warranties for the benefit of the customer, training and support to optimize customer use, and a network of repair facilities for convenient service through any Radio Shack store.

The Education market is also important to Tandy Corporation. A department dedicated to education, programs for teacher training and curriculum development underline the corporation's commitment to students, teachers and administrators. Evidence of our role in this vital area can be seen in the many classrooms across the country where Tandy Corporation/Radio Shack computers are the dominant computer systems.

Tandy Corporation commands a unique market position as a manufacturer as well as a retailer. In order to bring leading-edge technological products to our customers at affordable prices, Tandy has developed a bilateral product development strategy. Approximately fifty-four percent of the products Tandy sells to consumers are self-manufactured at one of Tandy's 28 company-owned facilities in six countries. Other products in the line are manufactured to Tandy specifications by the major electronics innovators of the world on an exclusive basis.

Tandy's private-label brand strategy enables us to set the highest quality standards for each item on our shelves. Large volume allows us to bring the cost of high technology down significantly.

Bringing high-quality, affordably-priced electronic goods to the mass marketplace has been the keynote of our success. Approximately one third of all U.S. households shop at Radio Shack during the course of a year -- giving Tandy a unique, broad-based perspective on the desires and demands of the buying public.

TANDY YESTERDAY

Tandy Corporation grew out of a small leather business. David Tandy and a friend, Norton Hinckley, started the Hinckley-Tandy Leather Company in 1927, selling sole leather and other shoe repair supplies to shoe repair dealers in Texas.

The firm weathered the Depression's storms, gathered strength and established a firm base in the shoe findings business. David Tandy earned personal recognition for himself, his firm and his community on regional and national levels. He was one of the founders of the Sales Executive Club, now a large national organization. He worked enthusiastically with city fathers to bring sales conventions and other events to Fort Worth.

David Tandy was a man of vigor and vision -- and above all, he was a salesman. The art of selling and merchandising was a game he loved and played his entire life. David's son Charles was inspired by his father and shared his enthusiasm for selling.

Charles Tandy believed in preparing for the business world. After receiving his Bachelor of Arts degree from Texas Christian University, he was accepted by the Harvard Business School for advanced work. While attending Harvard and working his way through school selling shoes in the basement of a major department store, he received his call to service in World War II.

During his tour in Hawaii, Charles Tandy saw a potential for growth of his father's leather company in leathercraft. In Army and Navy hospital units and recreations centers, leathercraft gave men something useful to do and, in addition to being therapeutic, their handiwork had genuine value.

When he returned home in 1948, Charles Tandy began to operate the small leathercraft division begun by his father at his suggestion. In 1950, David Tandy and his son Charles split with Hinckley and launched out on their own in the leathercraft business. A new business entity, the Tandy Leather Company, was born.

From 1950 on, the successful formula of retail mail order stores supported by direct mail advertising was expanded into a chain of 150 leathercraft stores. Leathercraft kits for moccasins, wallets, belts, and all kinds of leather goods from bookmarks to full size saddles formed a solid base for the new company.

In 1955 the Tandy Leather Company merged with American Hide and Leather which had five divisions, but only two proved profitable. After a lengthy struggle for controlling shares, the Tandy group obtained management control of the company, which had changed its name on the New York Stock Exchange to General American Industries. By 1960, the last of the unprofitable divisions was sold. The company name was changed to Tandy Corporation and Charles Tandy became President and Chairman of the Board.

Intrigued with the potential for rapid growth in electronics retail industry, Charles Tandy acquired Electronics Crafts in Fort Worth in 1962. In 1963, the First National Bank of Boston sought out Charles to help salvage their losses in the floundering Radio Shack Corporation. Radio Shack was a mail order company with nine stores that had its beginnings in the twenties, selling to ham operators and electronics buffs. By June 30, 1964, Tandy Corporation had acquired management control of Radio Shack Corporation and owned 85 percent of the outstanding Radio Shack common stock.

Using some of the merchandising techniques he learned from the Tandy Leather Company operations, Charles Tandy began making a sick company well. Two years after he had assumed leadership, Radio Shack had turned a \$4 million loss into a profit.

In 1967 the purchase of the family owned and operated Leonards Department Store, which was subsequently divested, included a privately owned subway connecting the downtown store with a 5,000 car parking lot -- providing a land base that would subsequently become the site of Tandy Center, future home office of Tandy Corporation.

Through the 1960's and into the 1970's, Tandy Corporation continued to expand. At the time of the Radio Shack acquisition, the corporation owned Pier I Imports, Tandy Leather, American Handicrafts, Merribee Embroidery and three divisions that made leather goods. By 1975 the Corporation had grown to include more than 20 companies; but, Radio Shack was the dominant Tandy Corporation identity, overshadowing the other divisions.

In order to concentrate on electronics and to free the other divisions from the Radio Shack shadow, a decision was made to divest or spinoff the other divisions. The leather manufacturing divisions were split off as Tandy Brands, Inc., and the crafts, home decoration and home improvement divisions were split off as Tandycrafts.

Tandy Corporation's interests became focused exclusively on Radio Shack and related electronics.

TANDY YESTERDAY, TODAY -- AND TOMORROW

The year of the birth of the personal computer, 1977, Tandy Corporation announced the development of the TRS-80 (later dubbed the TRS-80 Model I). That fall, we became the first company to bring microcomputing to the masses with full distribution in Radio Shack and Tandy Electronics stores around the world. Tandy Corporation has remained a leader and innovator in the burgeoning microcomputer market.

With full offerings of software, printers, monitors -- and new hardware products -- developed by Tandy since 1977, Tandy Corporation/Radio Shack has maintained a consistent, reliable leadership role.

Charles Tandy, founder of Tandy Corporation, built the base of today's high-technology distribution system with the acquisition of those nine Radio Shack stores in 1963. That network of electronic retail stores has grown today to include more than 9018 stores worldwide. Of these 9018 stores, 5092 are company owned stores (4247 in the United States), and 3090 are Dealer and franchise stores (2035 in the United States), with 429 computer speciality centers and 80 telephone centers in the United States. Outside North America, the retail operations are under the Tandy name.

The Radio Shack product line has evolved along with the advances and innovations of technology. Throughout the years, Tandy Corporation has brought its customers the latest in audio, video and communications technology.

Charles Tandy was a visionary chief executive who knew the pulse of the consumer marketplace, the financial dynamics of retailing and the strength of a major distribution system. But the vision did not stop with the sudden death of Charles Tandy in 1978.

The board of directors named Phil North Chairman, President and Chief Executive Officer and Lew Kornfeld, Executive Vice President following Charles' death. North was a boyhood friend and long-time director whose prior business experience was largely investment. Kornfeld had been President of Radio Shack since 1970 and was a career Radio Shack employee. Their primary objective was to rebound from the negative impact of the rapid decline of the CB market and to restructure management for the long-term. They maximized reliance on Tandy's inspired philosophy and culture. During this period the personal computer became an important growth area. Since Kornfeld was rapidly approaching retirement, North began transition management, naming John Roach President in 1980, Chief Executive Officer in 1981, and Chairman in 1982.

John Roach is a graduate of Texas Christian University who holds a bachelor of arts degree in math and physics and a graduate degree in business. A Fort Worth native, he joined Radio Shack in 1967 as General Manager of Tandy Computer Services. He was promoted to Vice President, General Distribution Manager, Radio Shack in 1975, and served in a variety of capacities as vice president until his promotion to President and Chief Operating Officer in 1980.

In the four years since Roach has assumed top administrative responsibility for Tandy Corporation, sales have more than doubled to \$2.7 billion in 1984. Net income has grown accordingly, to a 1984 total of \$281.871 million in 1984. Net income in 1980 was \$112.235 million. In these years, the number of Radio Shack outlets has grown from 7,715 in 1980 to a total of more than 9,000 worldwide in 1984. There are 433 Radio Shack Computer Centers and 739 Plus Computer Centers within full-line Radio Shack Stores in the U.S. alone and the number of Radio Shack Telephone Centers has grown from four in 1983 to 80 in the third quarter of 1984. Radio Shack is the largest distributor and manufacturer of computer products.

Reaffirming the company's commitment to business, in 1984 Roach supervised formation of a separate business products division within Radio Shack, responsible for both Radio Shack Telephone Centers and Radio Shack Computer Centers. A separate management staff, specializing in the needs of business customers is also part of this division.

Corporate acquisitions during the Roach years have included the 1980 acquisition of Lika Corporation, a Stockton, California printed circuit-board manufacturer and the 1982 acquisition of the consumer products division of Memorex, the Santa Clara, California, based Corporation. (It now operates as Tandy Magnetic Media, for manufacturing and research, and Memtek Products, for product marketing). In 1983 the company acquired O'Sullivan Industries of Lamar, Missouri, a furniture manufacturer.

Under Roach's guidance, Tandy Corporation entered the computer age in 1977, beginning the company's leadership role in high technology. In 1983, the computer industry was revolutionized by the introduction of the Radio Shack TRS-80® Model 100 Computer, the first truly portable computer.

Guided by Roach's vision, the company continues to play a pioneering role in advanced technology, introducing new products at affordable prices in such areas as cellular telephones, beta hi-fi, compact disc digital audio player, and portable pocket television.

As in the past, the Tandy customer of the future can expect quality products, a commitment to service and an excellent value.

The products for tomorrow are being invented today -- and Tandy will bring them to the marketplace with innovation and price performance.

*The information in the "Tandy Yesterday" section taken from Tandy Corporation, 'Start on a Shoe String,' by James L. West, published by The Newcomen Society in North America, New York, 1968.